HARBORVIEW CAPITAL PARTNERS

Standard Lease Assumptions Guide

Effective January 1, 2026

GENERAL POLICIES

Lease Structure: All leases in the fund's target markets are underwritten on a Triple Net (NNN) basis.

Growth Assumptions: Assume 30-year CPI average for rent growth and expense escalation unless there is a specific reason to deviate. Cross-reference the 30-year average from US_Inflation_Data.xlsx in the market research files.

Renewal Discount: Renewal market rent = 95% of new-lease market rent (5% renewal discount reflecting lower TI and avoided downtime).

Probability Weighting: For tenants rolling during the hold period, model expected-value blended revenue: (renewal probability x renewal rent) + ((1 - renewal probability) x new-lease rent after downtime and free rent). Single cash flow stream per tenant, not separate scenarios.

NNN Recovery: Each tenant reimburses their pro-rata share of reimbursable operating expenses: (tenant SF / building SF) x reimbursable pool. Reimbursable pool = all operating expenses except management fee and marketing. Vacant suites generate zero reimbursement.

ASSUMPTIONS BY TENANT SIZE

Size Bucket	Renewal Prob	Downtime (mo)	New TI ($/SF)	Renewal TI ($/SF)	LC (%)	Free Rent New (mo)	Free Rent Ren (mo)
> 15,000 SF	0.75	4	40	20	0.04	2	0
5,000 - 15,000 SF	0.65	5	36	16	0.05	2	1
2,000 - 5,000 SF	0.55	6	32	12	0.06	2	1
< 2,000 SF	0.5	7	28	10	0.06	3	1

NOTES

Deviations from these defaults are permitted where supported by market comparable evidence. Document the rationale and cite specific comps when deviating. Market rents should be derived from the lease comp analysis, not assumed. The guide provides the structural assumptions (probability, downtime, TI, LC, free rent); market rents come from the data. For spec suites requiring buildout, add the construction period before the void/relet sequence begins. Buildout TI may differ from the standard guide TI if specified by the development team.